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Case Number: 23CHCV02374 Hearing Date: August 12, 2026 Dept: F43

Dept. F43

Hearing Date: 08-12-26

Case # 23CHCV02374, Apolinar v. Apolinar, et al.

Trial Date: N/A

MOTION FOR ORDER APPROVING REFEREE'S FINAL ACCOUNT FROM PARTITION SALE, DISBURSEMENT OF FUNDS, DISCHARGE OF REFEREE, AND FINAL JUDGMENT

MOVING PARTY: Referee Brandon J. Anand

RESPONDING PARTY: Defendant Jorge Apolinar

RELIEF REQUESTED

Order approving the Referee's final accounting and the disbursement of proceeds from the sale of real property located at 22806 Aspen Court, Santa Clarita, CA 91390, discharging the Referee, and entering a final judgment.

RULING: Motion is granted in part as stated below in Section C.3.

SUMMARY OF ACTION

This partition actions involves real property located at 22806 Aspen Court in Santa Clarita, CA (the Property). On August 8, 2023, plaintiff Teresa Apolinar (Plaintiff) filed a complaint against defendant Jorge Apolinar (Defendant), seeking to severe the joint tenancy, to order Defendant to vacate the Property, to appoint a referee, and to sell the property and pay off the promissory note and other fees. Defendant filed an answer on November 1, 2023.

The parties entered a stipulated settlement agreement on January 6, 2025, resolving all claims in this action. On September 18, 2025, the court (Hon. Gary Micon) granted Plaintiff's motion to enforce the settlement agreement's terms (Defendant signing the listing agreement); entered an interlocutory judgment of partition by sale of the Property; granted Plaintiff's request to sign the listing agreement on defendant Jorge Apolinar's behalf; and appointed Brandon J. Anand (Referee) as referee in this matter. (9/18/2025 Minute Order.) The court ordered the Referee to deliver a report to the court so the court could confirm the sale.

On May 27, 2026, the Referee filed his Report, outlining the briefing, sale of the Property, and his recommendation for disbursement of funds: $9,206.56 to Referee Anand Law, P.C., $400,244.75 to Plaintiff, and $3,750.07 to Defendant.

On June 17, 2026, the Referee filed the instant motion for the court to approve his final accounting and the disbursement of proceeds from the sale of the Property ($10,541.06 to the Referee, $399,577.50 to Plaintiff, and $3,082.82 to Defendant) and to enter a final judgment in this case. On July 30, 2026, Defendant filed an objection, and the Referee replied on August 5, 2026.

ANALYSIS

A. Approving Referee's Final Accounting and Disbursement of Funds in Partition Matter

"The court may make orders relating to the closing of a sale after confirmation, including escrow and closing provisions and, if the referee and purchaser so agree and the court upon noticed motion determines it will not result in substantial prejudice to the parties, may make adjustments varying the terms of sale based on after-discovered defects." (Code Civ. Proc., § 873.780.)

Under Code of Civil Procedure section § 873.710, a referee appointed by the court to make a sale of property shall report the sale to the court, and include in the report the following information:

A description of the property sold to each purchaser.

The name of the purchaser.

The sale price.

The terms and conditions of the sale and the security, if any, taken.

Any amounts payable to lienholders.

A statement as to contractual or other arrangements or conditions as to agents' commissions.

Any determination and recommendation as to opening and closing public and private ways, roads, streets, and easements.

Other material facts relevant to the sale and the confirmation proceeding.

(Code Civ. Proc. § 873.710, subds. (a)-(b).)

"The court shall order the proceeds of sale and any security therefor to be paid, transferred, deposited in court, placed in trust, or invested in State of California or United States government obligations or interest-bearing accounts in an institution whose accounts are insured by an agency of the federal government, to or for the benefit of the persons in interest entitled thereto, as may be appropriate or as specifically provided in this article." (Code Civ. Proc., § 873.810.)

"The proceeds of sale for any property sold shall be applied in the following order:

(a) Payment of the expenses of sale; (b) Payment of the other costs of partition in whole or in part or to secure any cost of partition later allowed; (c) Payment of any liens on the property in their order of priority except liens which under the terms of sale are to remain on the property; (d) Distribution of the residue among the parties in proportion to their shares as determined by the court." (Code Civ. Proc., § 873.820, subds. (a)-(d).) "[T]he court shall apportion the costs of partition among the parties in proportion to their interests or make such other apportionment as may be equitable." (Code Civ. Proc., § 874.040.)

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B. The Referee's Report and Recommendations

Referee Anand filed his Status Report on May 27, 2026. According to the report, Plaintiff and Defendant executed a purchase agreement on November 30, 2025, whereby Defendant would purchase Plaintiff's 50% interest in the Property for $422,500. (Status Report at p. 2:21-22, Exh. 3.) The sale of Plaintiff's interest closed on January 9, 2026, with taxes of $14,298.62 deducted. (Id., Exh. 4.) Defendant also deposited $99,925.72 with escrow. (Id., Exh. 4 [escrow charges, title and recording charges, referee fees and costs, debits/credits, and payoff to Plaintiff for lien].) With the Referee's $5,000 fee, the total being held in trust is $413,201.38. (Id.)

On January 15, 2026, the Referee sent Plaintiff and Defendant a Notice of Claims Procedures and Deadlines, setting deadlines to submit claims briefs and replies. The parties provided initial briefs and replies and further briefing after the Referee's supplemental inquiries. (Status Report at p. 3:14-19, Exhs. 5-6 [asking about reimbursement claims and rental value offsets].)

After reviewing the parties' briefing, the Referre made the following recommendations:

- Defendant is entitled to reimbursement for expense made for mortgage payments, property insurance, home insurance, and repairs and upgrade in the amount of 50% of the amount spent, $330,363.90;

- Plaintiff is entitled to offset the expense claims of Defendant with 50% of the rental value for the time period Defendant was in exclusive possession, $485,560.84[1];

- Referee fees and costs of $9,206.56 shall be apportioned proportionately (50/50);

- This results in a $396.72 credit to Defendant; and

- Defendant is also entitled to a credit of $3,353.35 for escrow charges paid.

(Status Report at pp. 6:5-8:12-17.)

The funds should be disbursed as follows:

• Referee - $9,206.56

• Plaintiff - $400,244.75

• Defendant - $3,750.07

C. The Referee properly apportioned funds and applied a rental-value offset to Defendant’s reimbursement claims.

“[T]he court shall order that the property be sold and the proceeds be divided among the parties in accordance with their interests in the property as determined in the interlocutory judgment in the following situations: (b) The court determines that, under the circumstances, sale and division of the proceeds would be more equitable than division of the property. For the purpose of making the determination, the court may appoint a referee and take into account his report.” (Code Civ. Proc., § 872.820, subd. (b).) “As far as practical, and to the extent it can be done without material injury to the rights of the other parties, the property shall be so divided as to allot to a party any portion that embraces improvements made by that party or that party’s predecessor in interest. In such division and allotment, the value of such improvements shall be excluded.” (Code Civ. Proc., § 873.220.)

“[P]artition as to concurrent interests in the property shall be as of right unless barred by a valid waiver.” (Code Civ. Proc., § 872.710, subd. (b).) Here, Plaintiff and Defendant were joint tenants with equal ownership of the Property. A joint tenancy is ownership “by two or more persons in equal shares[.]” (Civ. Code, § 683, subd. (a).)

Code of Civil Procedure section 872.140 is an equitable tool which grants the court broad authority to order allowance, accounting, contribution, or other compensatory adjustment among the parties. (Code Civ. Proc., § 872.140.) Thus, the court may depart from a mechanical split and credit or charge each co-tenant’s share based on their respective expenditures and benefits during the period of co-ownership. (Wallace v. Daley (1990) 220 Cal.App.3d 1028, 1035-1036.) For example, “it [i]s proper for the court may to offset the reasonable value of the use of plaintiff’s interest in the property against the payments for interest, taxes and insurance made by defendants in preservation of the property.” (Hunter v. Schultz (1966) 240 Cal.App.2d 24, 32.)

“A co-tenant who pays for necessary repairs, improvements that enhance the value of the property, taxes, mortgage payments, insurance, and other preservation expenses is entitled to credit for those expenditures in the partition accounting. (Wallace v. Daley, supra, 220 Cal.App.3d at p. 1038, citations omitted; see also Milian v. De Leon (1986) 181 Cal.App.3d 1185, 1194.) “When a cotenant makes advances from his own pocket to preserve the common estate, his investment in the property increases by the entire amount advanced. Upon sale of the estate he is entitled to be reimbursed his entire advancement before the balance is equally divided.” (Southern Adjustment Bureau, Inc. v. Nelson (1964) 230 Cal.App.2d 539, 541 [citing Willmon v. Koyer (1914) 168 Cal. 369, 374-375].) This approach prevents the non-paying co-tenant from receiving an unearned windfall by sharing in the benefit of improvements without bearing any of the cost.

Here, Defendant is entitled to reimbursement for the ($661,273.90) in repairs, taxes, mortgage payments, and insurance he paid out-of-pocket while in possession of the Property.

However, a co-tenant not in possession of property held in a joint tenancy may use the rental value of the exclusive possession as an equitable offset—not as an independent rent claim—against the possessing co-tenant’s demand for contribution. In Hunter v. Schultz (1966), the Court of Appeal held a trial court may offset the reasonable value of the use of a non-possessing co-tenant’s interest in a property against the payments for interest, taxes, and insurance made by the possessing co-tenants in preservation of the property. (240 Cal.App.2d 24, 32.) The court carefully distinguished this offset from an impermissible rent claim, explaining that when a co-tenant who has been in possession seeks to obtain contribution for amounts expended in protection or preservation of the property, the court, as incidental to granting such relief and by way of adjusting the rights of the parties, may charge the claimant defensively with at least a part of the reasonable value of his occupancy or use. (Hunter v. Schultz, supra, 240 Cal.App.2d at pp. 31-32 [citing Buttram v. Finley (1946) 73 Cal.App.2d 536, 544-545; McWhorter v. McWhorter (1929) 99 Cal.App.2d 293].)

1. The Referee's methodology in the final accounting is sound but typos throughout the Report require the court to modify the final accounting.

The distribution of sale proceeds in this scenario proceeds as follows. First, from the gross sale proceeds, the court deducts the costs of sale and any outstanding liens or encumbrances. Second, the court calculates the possessing co-tenant's reimbursable expenditures—the full amount of necessary repair and preservation costs paid—and deducts that amount from the remaining proceeds, paying it directly to the possessing co-tenant. (Code Civ. Proc., § 873.820, subds. (a)-(d); Code Civ. Proc., § 874.010, subds. (a)-(e).) Third, the court determines whether the non-possessing co-tenant is entitled to a rental value offset against the possessing co-tenant's contribution claim. If the possessing co-tenant is seeking contribution for maintenance and preservation expenditures, the court may charge the possessing co-tenant with the reasonable rental value of the non-possessing co-tenant's interest during the period of exclusive possession, reducing the net reimbursement accordingly. (Hunter v. Schultz, supra, 240 Cal.App.2d at p. 32.) Finally, any remaining net proceeds are divided equally between the two joint tenants, reflecting their equal ownership interests under Civil Code section 683.

Here, the court finds the Referee applied the correct methodology but that the Referee's Report includes some typos which render some calculations incorrect. The court adjusts for these arithmetic errors below.

First, the Referee correctly deducted the Franchise and County Tax liability ($14,298.62) from the $422,500 sale amount. (Status Report at pp. 2:24-3:2, Exh. 4 at p. 2.) This demonstrates Plaintiff's entitlement to her 50% interest less liens and taxes: $408,201.38. Adding the Referee's $5,000 cost for a partition action brings this amount to $413,201.38.

Second, the amount Defendant actually deposited into escrow was $100,292.89: $3,385 in Escrow charges, $2,629.75[2] in title/taxes/recording charges, $606.95[3] in other debits/credits, and a $88,317.35[4] payoff to Plaintiff for the lien. (Status Report at p. 3:4-9, Exh. 4 at p. 1.) This left Defendant with a total refund of $353.84.

Third, the Referee found that Defendant provided competent evidence to support his claims for reimbursement, $661,273.80: $324,284.80 in mortgage payments, $128,382 in property insurance, $23,921 in home insurance, and $184,686 in repairs and upgrade. (Status Report at p. 6:6-14.) Plaintiff provides no opposing evidence. Because Plaintiff and Defendant were co-joint tenants to the Property when the expenses were incurred and paid, Defendant is entitled to reimbursement for up to 50% of the amount contributed: $330,636.90.

To offset the $330,636.90 owed to Defendant, Plaintiff presented evidence demonstrating the current rental value of the Property based on comparable properties and provided data from the U.S. Bureau of Labor Statistics Consumer Price Index to determine the historical rental value for the relevant time period during which Defendant was in exclusive possession, 1993 to present. (Status Report at p. 7:3-9 [total of $971,121.89], Exh. 5 at p. 3 ["For Both parties: For all time periods that Defendant claims credit for improvements, mortgage payments, and tax, what was rental value of the property? Please provide evidence to support."], Exh. 6 at pp. 189-192.) The Referee requested briefing on this matter from both parties, but Defendant failed to provide opposing briefing on this matter or any opposing evidence to Plaintiff's claim. Based on Plaintiff's evidence, the rental values for the Property on a year-by-year basis totaled $971,121.89. As Defendant's co-joint tenant in the Property, Plaintiff is entitled to offset Defendant's reimbursement claims by 50% of the rental amount: $485,560.94.

When Plaintiff's portion of the rental offset is applied against her portion of Defendant's reimbursement claim, Plaintiff nets $154,924.04. As such, the $330,636.90 amount is offset by the value of the use of Plaintiff's interest in the property and she is not required to pay Defendant any part of the reimbursement. (See Hunter v. Schultz, supra, 240 Cal.App.2d at pp. 31-32.)

Therefore, the court finds the Referee's methodology of the funds proper.

2. Defendants' objections are unsupported by case law and evidence.

Defendant first asserts that because he alone bore the financial burden ($661,273.90) of preserving and maintaining the Property, he should receive the entirety of the remaining funds ($402,660.32), after payment of the Referee's fees. (Objection at p. 5:2-7.) According to Defendant, Plaintiff may not recover rent because there was no ouster or agreement between the parties, citing Hunter v. Schultz. Defendant's use of Hunter improperly focuses on the parties being former spouses, the subject property not being community property, and attempts to limit the rental offset rule to such instances.

However, the Hunter ruling did not expressly limit the "rental offset" rule to situations involving former spouses. Moreover, Plaintiff does not seek rental income but seeks to offset her contribution to Defendant's through the reasonable value of renting the Property during the relevant period in which Defendant was the sole joint tenant in possession of the Property. Thus, this argument fails.

Next, Defendant seeks to withdraw his reimbursement claim if the court chooses to apply Hunter v. Schultz in order to remove an equitable basis for the rental offset. (Objection at p. 5:16-21.) Defendant cites no legal authority to support this request.

Because evidentiary proceedings had already begun before the Referee when Defendant raised his reimbursement claim, Defendant cannot withdraw or voluntarily dismiss his reimbursement claim. "Once the parties commence putting forth the facts of their case before some sort of fact finder, such as an arbitrator, or at the pretrial stage a ruling is made on an issue of law or on admitted facts which effectively disposes of the plaintiff's case . . . it is unfair-and perhaps a mockery of the system-to allow the plaintiff to dismiss his complaint and refile." (Gray v. Superior Court (1997) 52 Cal.App.4th 165, 173.) "Given the general role of referees as preliminary examiners of fact, we have no difficulty in concluding that trial in a partition action has commenced once evidentiary proceedings are begun before a referee. Despite the fact that the partition referee's report was not in itself dispositive or tantamount to a final judgment, the trial proceedings began when the parties appeared before the referee to present their evidence." (Id. at p. 171, fn. 6.) Thus, Defendant's right to voluntarily dismiss his claim of reimbursement of expenditures has been cut off. (See also Groth Bros. Oldsmobile, Inc. v. Gallagher (2002) 97 Cal.App.4th 60, 71-73.)

Third, Defendant states the Referee's calculations require further explanation and correction because the figures in the Referee's report differ materially from the calculations in the original briefing, the methodology is inconsistent, and the Referee only relied on Plaintiff's evidence in deciding the rental value. (Objection at p. 5:24-28.)

As the court noted above, the court found some discrepancies between the Referee's Report and the Master Final Settlement Statement but addressed those issues above. As for Defendant's claims about the Referee's 37% reduction, these claims lack merit or clear support. Finally, Defendant cannot now challenge the Referee's reliance on Plaintiff's rental offset evidence when Defendant failed to present opposing evidence when requested by the Referee.

Lastly, the court has reviewed the moving papers, the Referee's Report, the Referee's declaration, and the Referee's billing invoices and finds that the hours billed (6.3 hours) and the requested hourly rates ($315 for Mr. Anand and $185 for a legal assistant) are reasonable. (Declaration of Brandon J. Anand, Exh. 1.) Therefore, the court accepts the Referee's request for $10,541.06 in attorney/referee fees and costs.

Therefore, the court grants in part the Referee's motion.

3. The final accounting, disbursement, and discharge.

1. The court modifies and approves the Referee's final accounting:

• Defendant is entitled to reimbursement for expenses made for mortgage payments, property insurance, home insurance, and repairs and upgrades in the amount of 50% of the amount spent, $330,636.90.

• Plaintiff is entitled to offset the expense claims of Defendant with 50% of the rental value for the time period Defendant was in exclusive possession, $485,560.94.

• After applying Plaintiff's offset to Defendant's claim, Defendant is not entitled to any reimbursement or compensatory adjustment.

• Referee's fees and costs totaling $10,541.06[5] shall be apportioned equally between Plaintiff and Defendant: $5,270.53. Because Defendant previously paid $5,000 towards the estimated Referee fees and costs, Defendant only owes $270.53.

• Defendant also paid the amount listed below to escrow, and the parties agreed that these costs would be borne 50-50:

• Escrow Charges: $3,385.00

• Title/Taxes/Recording Charges: $2,629.75

• Other Debits /Credits: $606.95

• Defendant is also entitled to a credit of $3,353.35 for the escrow charges paid.

• The remaining amount to be disbursed is $413,208.38.

2. The court approves the disbursement of the proceeds from the sale of real property located at 22806 Aspen Court, Santa Clarita, CA 91390, as follows:

• Referee Anand Law, P.C.: $10,541.06

• Plaintiff Teresa Apolinar: $399,584.50

• Defendant Jorge Apolinar: $3,082.82

3. Referee Brandon J. Anand is discharged from his duties as Referee.

4. The court enters a final judgment of $413,208.38.

CONCLUSION and ORDER

Motion is granted in part as stated above in Section C.3.

The court enters a final judgment of $413,208.38

Clerk of the Court to give notice.